MODULE 02 · CASE STUDY 6 · PRE-READ FOR CLASS 6

Two Cases: What It Is For, and Who Goes First

The 8am Milkshake · Three Founders Who Began by Refusing Most of Their Market

READ THIS BEFORE CLASS

Two separate cases in one document. Read them in order, in one sitting if you can, with a pen. You are not expected to arrive with answers — you are expected to arrive with both stories in your head and a few opinions you are willing to defend out loud.

There is nothing to memorise here. No definitions, no frameworks, no terms that will be tested. Just five real businesses, the decisions their people made, and the numbers those decisions produced. We will build the ideas together in class, out of these stories.

2	30–35	10
Cases	Minutes to read	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

CASE A

The 8am Milkshake

A fast-food chain, a chocolate bar and a cricket stream — three businesses that only make sense once you know what they were bought for

READING TIME: 15 minutes

HOW TO READ THIS CASE

Last session you saw that the first answer a customer gives is rarely the whole reason they bought. This case is about what you do next.

As you read, do not ask 'who buys this?' Ask something narrower each time: **what exactly was this person trying to get done, in what exact situation, and what else could they have used instead?** That last part is where most of the surprise in this case is hiding.

Keep a note of one thing as you read, because you will be asked for it in the room: what were you actually doing the last time you opened the app you use most?

1 A Milkshake Problem That Would Not Solve

Some time in the 1990s, an American fast-food chain decided it wanted to sell more milkshakes. This is an ordinary business problem, and the company approached it in the ordinary way. It had a product, it had customers, and it had a research budget, so it asked the customers how the product should be improved.

The research was competently done. The chain invited people who bought milkshakes regularly, described the milkshake in detail, and asked them what they wanted. Thicker or thinner? Chunkier or smoother? Chocolate or strawberry? Cheaper or larger? The customers answered every question. They gave clear, cooperative, internally consistent responses.

The company then did exactly what its customers had asked for. It adjusted the recipe. It changed the sizes. It ran promotions.

Nothing happened. Sales did not move at all.

Notice how familiar this failure should feel by now. Nobody lied. The customers had simply been asked to comment on a product rather than describe their lives, and they answered the question they were given.

Then a research team was brought in that included Clayton Christensen, a Harvard professor, along with the researcher Bob Moesta. They arrived with a completely different question — and that question is what we will spend most of the class on.

2 What They Saw When They Stopped Asking

The team's first move was to stop interviewing and start watching. A researcher stood in one restaurant for a full day and recorded, hour by hour, who bought milkshakes, what else they bought with them, whether they were alone,

and whether they drank the milkshake in the restaurant or took it away.

The data was strange.

WHAT THE DAY SHOWED	THE DETAIL
Around half	of all milkshakes were sold before 9am.
Almost always alone	No families. No groups. One person, one milkshake.
Nothing bought with it	No burger, no fries, nothing that makes a meal.
Never sat down	They took it to the car and drove away.

So the researchers came back the next morning and asked the customers a set of questions that had nothing whatever to do with flavour. What are you doing right now? Where are you going? What did you buy *instead* of a milkshake the last time you were in this situation?

The answers assembled themselves into a single, precise picture. These were commuters facing a long, boring, solitary drive to work. They were not hungry yet, but they would be by ten, and they wanted something to occupy one hand and their attention for the length of the drive.

Now read the list of things they said they had used instead, because it is the most important list in the case.

- **A banana.** Eaten in three bites. Gone in a minute, and you are bored again.
- **A doughnut.** Greasy fingers on the steering wheel.
- **A bagel.** Dry, and it needs two hands.
- **A chocolate bar.** Over too quickly, and it leaves you feeling you have had breakfast badly.
- **Nothing at all.** Hungry by ten.

Against that list, a thick milkshake through a thin straw is an extraordinarily good product. It takes twenty minutes to finish. It fits a cup holder. It occupies exactly one hand. It is thick enough to stay interesting and heavy enough to hold off hunger until midday.

> **WORTH PAUSING ON**
>
> Not one item on that list is a milkshake. Not one item on it is even a drink.
>
> Before you read on: if that list is what the milkshake was really up against, what should the chain have changed about it — and would any of those changes have come out of the original survey?

Once the picture was clear, the improvements were obvious, and none of them had come from the research. Make the milkshake thicker, so it lasts the length of the drive rather than the length of a queue. Add fruit chunks, so the straw delivers small surprises across twenty boring minutes. Move the dispensing machine to the front of the restaurant and add a prepaid swipe card, so a commuter in a hurry is not queuing behind a family ordering breakfast. Not one of those changes makes the milkshake taste better in a blind test.

It is worth being clear about why the chain cared so much. A milkshake is one of the best products on a fast-food menu financially. The physical inputs — milk solids, syrup, a cup, a lid, a straw — are cheap, so a shake sold at two or

three dollars carries a gross margin in the region of seventy to eighty per cent, well above a burger. The morning commuter is better still than that number suggests, because he arrives before the lunch rush, occupies no seating, buys in seconds, and comes back every single working day. High margin, high frequency, zero congestion. Finding out what he was really buying was worth more to that chain than any recipe change.

3 The Half of the Story Most Retellings Leave Out

Milkshakes also sold in the late afternoon, in much smaller numbers, to a completely different customer: a parent, usually with a child, at the end of a long day of saying no.

That milkshake was bought for something else entirely — to be a nice parent for four minutes, to say yes to something harmless, to make the day end well. And for that, the thick twenty-minute milkshake is actively wrong. The child takes forever, the parent gets impatient, and the moment of generosity turns into waiting.

	THE 7AM MILKSHAKE	THE 4PM MILKSHAKE
Customer	A commuter, alone	A parent, with a child
Situation	A long, boring drive. Not hungry yet, but will be by ten.	The end of a day of saying no, driving home together.
What it has to do	Occupy one hand and the attention for twenty minutes, and hold off hunger.	Be finished quickly, cheerfully, without a fuss.
So it should be	Thicker. Slower. Chunkier.	Thinner. Smaller. Faster.

The same product, from the same machine, through the same door, bought for two purposes that require opposite designs. Which tells you something awkward about the phrase 'the average customer'.

4 Cadbury: The Bar That Stopped Competing With Chocolate

Cadbury has sold chocolate in India since 1948, and for roughly the first fifty years it sold it to children. That was not a mistake; it was the obvious reading of the market. Chocolate was a treat, treats were for children, and the advertising showed children.

The trouble with owning the children's-treat business in India is arithmetic. Reported per-capita chocolate consumption in India has long sat in the region of one or two hundred grams a year, against several kilos a year in Western Europe. A business built on Indian children eating chocolate had a low ceiling and there was nothing anybody could do about it.

Through the 1990s Cadbury India began moving the brand toward adults with the 'Real Taste of Life' campaign — the one with the young woman dancing onto a cricket field. But the decisive move came in 2004, with four words developed with the agency Ogilvy: **Kuch Meetha Ho Jaaye.** Let's have something sweet.

Look closely at what that line does. It says nothing about chocolate, cocoa, taste or children. It names a situation — a result has come, a deal has closed, a guest has arrived, a festival has begun, somebody needs to be congratulated — and in that situation, Indian households have always done one specific thing: they have distributed something sweet.

Which changed who Cadbury was up against. Not Nestlé. Not Amul. Not imported chocolate. **Mithai** — the laddoo, the barfi, the kaju katli from the sweet shop, bought by the kilo in a cardboard box. India's sweets market is

enormous and overwhelmingly unorganised, running into tens of thousands of crores a year, and it owned every occasion an Indian family celebrated. Cadbury did not try to win a chocolate war at all. It walked into the mithai occasion and offered itself as the alternative: hygienic, sealed, dated, consistent, available at every kirana, and requiring no negotiation about freshness.

Every subsequent decision follows from that. 'Shubh Aarambh' extended the same idea to the moment *before* something important — eat something sweet and set out. Dairy Milk Silk, launched around 2010 at a substantial premium of roughly ₹80 to ₹175 depending on variant and size, is designed to be given rather than eaten alone. Festival gift packs are built for occasions where the giver, not the eater, is the customer.

PRICE	WHAT IT IS FOR	WHAT IT IS UP AGAINST
₹10 a bar	Marking a result at a hostel gate.	A packet of biscuits.
₹150 · Silk	Given, not eaten alone.	A box of mithai.
₹400+ pack	A Diwali visit to a boss's home.	Arriving empty-handed.

The price architecture spans ₹10 to well over ₹400 because occasions have wildly different budgets. Mondelez India, which now owns the business, has reported annual revenues in the region of ₹10,000 crore, with Dairy Milk the country's largest chocolate brand by a wide margin, in a market where the company's share is usually reported above half. That position was not won on cocoa content.

5 Hotstar: The Cricket Stream That Was Never About Cricket

Hotstar launched in February 2015, built by Star India, initially to stream cricket and television to Indian phones. The obvious reading of that business is 'Netflix for India' — a streaming service competing on content library, video quality and price. What the team actually understood was narrower and far more useful.

Watching cricket on a five-inch phone screen, on a patchy mobile connection, standing in a bus, is a bad way to watch cricket. If the point were to see the match clearly, the television in the hostel common room wins every time. Yet tens of millions of Indians chose the phone anyway.

Once you ask what the phone was really for, the answer arrives quickly. Not to see the match — to not be left out of it. During an India–Pakistan game, the country is having a single conversation, and being outside it, at work, in a lecture, on a train or in a wedding hall, is the actual pain.

Every unusual feature Hotstar built makes sense on that reading and looks eccentric without it. Polls and emoji reactions during play. A 'Watch'N Play' game that let viewers predict the next ball and compete with friends. Social feeds, shareable clips, and a deliberate push to make watching feel populated rather than solitary. A company chasing 'better streaming' would have spent that engineering budget on bitrate. Hotstar spent it on making a solitary phone feel like a crowded room.

The pricing followed, and this is the part worth reading twice. Hotstar sold a cheap cricket-and-Indian-content tier — the VIP plan, priced in the region of ₹365 to ₹399 a year, roughly a rupee a day — alongside a Premium tier several times more expensive for international films and series. Those were not two price points for one product. They were two products for two entirely different reasons to subscribe.

HOTSTAR, IN FIGURES	WHAT HAPPENED
~25 million	Reported simultaneous viewers at the 2019 World Cup semi-final.
50 million+	Reported simultaneous viewers during the 2023 World Cup — numbers with no real equivalent anywhere in the world.
₹365–399 a year	Roughly a rupee a day for the cricket tier.
A few tens of rupees	Average revenue per user per month at peak — a fraction of what a Netflix subscriber pays anywhere.

A business shaped like that cannot earn the way a premium subscription does. It earns on advertising against enormous simultaneous audiences, and on the sheer volume of people willing to pay a rupee a day. And the trade-off is brutal and visible: when the cricket rights move to a rival, as they have repeatedly in Indian streaming, a very large share of the audience moves with the cricket rather than staying with the app.

6 Two Lists of Competitors

Here is the practical payoff of the whole case. In each of these three businesses there are two possible lists of who you are competing with — the tidy, comfortable list the industry would give you, and the untidy one the customer's actual situation produces.

	THE MORNING MILKSHAKE	CADBURY DAIRY MILK	HOTSTAR, CRICKET TIER
The situation	7am, alone, a long boring drive, not hungry yet but will be by ten	A result, a deal, a guest, a festival — a good moment that has to be marked in front of people	The country is watching one match and I am not near a television
Who the industry says the rivals are	Other milkshakes and soft drinks	Nestlé, Amul, imported chocolate	Netflix, Amazon Prime Video
Who the customer's morning says they are	A banana, a bagel, a doughnut, a chocolate bar, or nothing at all	A ₹400–₹800 box of mithai, a dry-fruit pack, or arriving empty-handed	A television in somebody else's room, the score on Twitter, or missing it
What the rival costs	₹0 to about ₹80 equivalent	About ₹400–₹800 per gifting occasion	Free, if you can get to a television
What that price allows	A modest price, with speed of service as the real battleground	₹10 for a small moment up to ₹400+ for a formal one, at reported gross margins in the 35–45% region	Roughly a rupee a day, against a Premium tier several times higher

One line in that table deserves a sentence of its own. Look at the two rival rows. In all three businesses, the two lists share nothing at all — not one entry appears on both.

7 The Question Case A Sets Up

Two of the entries on those untidy lists are worth staring at before class. One is the clumsy free thing the customer already does — the banana, the neighbour's television. The other is doing nothing at all, which turns out to be on almost every list.

Neither of them is a company. Neither has a marketing budget, a product roadmap or a market share. And in each of these three cases, one of them was the thing actually standing between the business and its customer.

> *So: how do you compete with a banana? And how would you have found out that you were competing with one, if nobody in your research ever mentioned it?*

CASE B

Who Goes First

Three founders, three ways of ordering the same market — and one expansion that looked obvious and was not

READING TIME: 18 minutes

HOW TO READ THIS CASE

Three founders here, all in Indian beauty and personal care, all of whom you will recognise from television. Each of them began by deliberately refusing most of their market, and each then grew along a different line — one across price levels, one across places you can buy things, one across product categories.

Keep two questions running as you read. First: **who did this founder deliberately decide to serve badly at the start?** Second: **when they grew, what made the next customer easy or hard to reach?**

The last section is about an expansion that looked obvious, was announced with confidence, and turned out to have completely different economics underneath. That section is the reason this class exists.

1 The Market Everyone Could See and Nobody Could Serve

In 2012, Indian beauty and personal care was a large, obvious, badly served market. Large, because a billion-plus people buy soap, shampoo, oil, kajal and cream. Obvious, because Hindustan Unilever, Godrej and Marico had been reporting the numbers for decades. Badly served, because the way you actually bought anything beyond the basics was miserable.

Consider what buying a lipstick or a serum involved. If you wanted something mass-market, the kirana or the local chemist had a narrow, dusty selection with no testers. If you wanted a mid-range international brand — MAC, Bobbi Brown, Clinique — you had to travel to a specific mall in a specific city, stand at a counter under bright lights, and be advised by a salesperson paid on commission by one brand. If you wanted something genuinely niche, you asked a relative flying back from Dubai. Online barely existed for beauty: the big marketplaces sold it the way they sold phone chargers, with counterfeits mixed in, no shade guidance, and no reason to believe the sunscreen had been stored properly.

So there was a gap. But here is the part that matters today: it was not one gap. It was four or five different gaps belonging to four or five different customers, and they pulled in opposite directions.

THE CUSTOMER	WHAT SHE WANTED
The mass buyer	The cheapest working kajal. She will not pay for delivery.
The aspirational buyer	In her twenties or thirties, metro, earning her own money. The MAC lipstick without the mall trip and the commissioned salesperson.
The luxury buyer	Authenticity guarantees, gift packaging, discretion.
The enthusiast	Small, noisy, disproportionately influential. Reviews, ingredient lists, swatches on Indian skin, something new to try every month.

A founder facing that has to make a choice that feels like losing. Serving all of them at once requires a mass-market price structure, a luxury authentication process, an enthusiast content operation and a nationwide logistics network, on day one, with none of the volume that pays for any of it. Serving one of them means writing off the others — publicly, visibly, while competitors announce that they serve everybody.

2 Falguni Nayar and the Customer Nobody Wanted to Start With

Falguni Nayar was not a typical founder. She had spent close to two decades in investment banking, rising to managing director at Kotak Mahindra, and she started Nykaa in 2012 at about the age of fifty. That background matters, because investment bankers spend their careers looking at where the profit sits in an industry rather than at where the noise is.

Her choice was the aspirational and enthusiast buyer: broadly, women in their twenties and thirties in metros and large cities, earning their own income, who already knew what MAC and Forest Essentials were, and who were being served appallingly. Not the mass market, which was vastly larger and where Nykaa would have been competing on price against companies with fifty years of distribution. Not the luxury buyer, who was too small to build on and needed an entirely different service model. She took the group in the middle — and she took the smallest, loudest end of it first.

Now look at what that one decision made possible, because this is the part students usually miss.

- **Because the customer already knew the brand names**, Nykaa did not have to educate a market. It had to earn distribution rights from brands, which is a different and much more tractable problem.
- **Because the customer cared about discovery**, content became the product: tutorials, reviews, editorial features, shade guidance for Indian skin. That content was cheap relative to advertising, and it did something advertising cannot — it made the site the place you go to find out what to buy, rather than the place you go once you have already decided.
- **Because the customer was anxious about fakes**, Nykaa sold as a retailer holding its own inventory rather than as an open marketplace. That is a much heavier, more capital-hungry model, and it fixed the counterfeit problem the big marketplaces could not fix.
- **Because the customer was concentrated in metros**, early logistics were solvable.

Then came the order in which everything else happened, and the order is the whole lesson.

Having won the aspirational-and-enthusiast customer, Nykaa moved *up*: luxury brands, a separate luxury storefront, gifting formats. Moving up was straightforward, because a brand that already means 'serious about beauty' can carry

a ₹6,000 serum without confusing anybody. Then it moved *down*: Nykaa's own private labels at mass-market prices, and physical stores in smaller cities where the customer had never had a beauty counter at all.

> **HOLD THIS THOUGHT**
>
> Nykaa went up first and down second. Before you read on, ask yourself what would have happened if it had gone in the other order — mass-market private labels and Tier-2 stores first, luxury brands afterwards. Would the second half still have worked? Write down why or why not; we will settle it in class.

By the November 2021 listing, the company was valued at roughly one lakh crore rupees on listing day, and its FY23 revenue was in the region of ₹5,100 crore. The share price then fell substantially from those listing highs, which is a useful and quite separate lesson about what a stock market pays for growth.

Two operational details are worth carrying into class, because they show what winning a narrow group of customers actually buys you. First, the physical stores: Nykaa has opened well over a hundred retail outlets across dozens of Indian cities, and they are not there to compete with the website — they are there to reach a customer for whom a beauty counter has never existed, and to let a first-time buyer touch a product she has only read about. Second, the private labels: house brands, sold alongside the international ones, at prices the mass buyer can reach. A house brand carries a far better gross margin than a distributed brand, because you are not paying a brand owner a cut — but nobody buys a house brand from a retailer they do not already trust.

3 Vineeta Singh: A Start So Narrow It Sounds Like a Mistake

Vineeta Singh and Kaushik Mukherjee took the opposite approach to breadth. Singh — an IIT Madras and IIM Ahmedabad graduate who famously turned down a high-paying job to build something, and whom you know from television — started in 2012 with Fab Bag, a beauty subscription box that sent a curated set of samples every month. It was a reasonable business, and it taught them something more valuable than it earned: they could see, month after month, exactly which products Indian women reordered and which they abandoned.

What the data showed was a mismatch nobody was fixing. The international brands on the shelf were formulated for cooler, drier climates and lighter skin tones. In Indian heat and humidity, a lipstick that performed beautifully in a European winter slid off by lunchtime, and the nude shades that looked elegant on a Western model looked ashy on most Indian skin. Meanwhile the mass Indian brands were priced for volume and mostly aimed at soft, safe, bridal-adjacent colours.

So in 2015 they launched Sugar Cosmetics with a starting point so narrow it would sound absurd in a pitch meeting: **long-wear matte lipsticks, in bold shades, formulated for Indian skin tones and Indian weather**, sold to urban women in their twenties who wanted to look put-together at 6pm and not just at 9am. One category. One finish. One climate problem.

That narrowness is the point. A brand that promises everything to everybody has no reason to be believed. A brand that says 'this will not budge in Delhi in June' can be tested by the customer in a single day.

Sugar then grew along a completely different line from Nykaa's. It did not climb price levels — it stayed in the accessible-premium band, roughly ₹500 to ₹800 for a lipstick, above mass and well below luxury. What it changed was **where you could buy it**. Direct from its own website first; then the beauty marketplaces, including Nykaa itself; then, decisively, physical retail — reported at tens of thousands of retail touchpoints across hundreds of cities, plus its own stores. And only after the lipstick franchise was established did it widen the range into eyes, face and skin.

Reported revenues moved from a few crore in the early years to the region of ₹420 crore by FY23, with international investors including L Catterton, the consumer-focused private equity firm associated with LVMH.

It is worth putting numbers on why the order of those steps is a real strategy rather than distribution housekeeping.

WHERE IT SELLS	WHAT SUGAR KEEPS	WHAT IT COSTS
Its own website	Close to the full retail price, minus payment and shipping. The customer's contact details and purchase history are Sugar's.	It has to find every single customer itself.
A marketplace	Reach it could not build alone.	Roughly a fifth to a third of the price goes to the platform — and the customer belongs to the platform, not to Sugar.
Physical retail	Presence in hundreds of cities, in front of people who will never search for it online.	The distributor and the retailer together take a substantial trade margin, and the brand learns almost nothing about who bought.

Each step down that table costs margin and information, and each step buys reach the one above it could not deliver. A founder who starts in physical retail, with no brand and no data, does not get to make that trade in that order.

4 Mamaearth: Starting With the Most Anxious Buyer in India

Varun and Ghazal Alagh started Honasa Consumer in 2016, and their first customer was chosen from personal experience: new parents, and specifically new mothers, who could not find a baby product they trusted. Ghazal Alagh has described the origin plainly — they could not find safe products for their own child and ended up importing them.

New parents are close to a perfect first customer, for reasons worth naming precisely. They are the most anxiety-driven buyer in any consumer market, so willingness to pay for reassurance is high. They are entering the category for the first time, so there is no habit to break and no existing loyalty to overcome — a new mother has no favourite baby shampoo yet. They search obsessively online, so a digital brand can reach them cheaply. And they talk to each other constantly, which produces word of mouth inside a tight, self-identifying network.

The trade-off is equally clear, and it is what makes this story interesting: **the customer expires.** She stops being a new parent in about three years, whether or not she liked you.

So growth was not optional here; it was structural. Mamaearth moved from baby care into adult personal care under the same brand and the same promise — 'toxin-free', natural, transparent ingredient lists — because the promise, not the product, was what the customer had bought. Then Honasa did something more interesting than simply stretching Mamaearth further: it built a set of separate brands for customers the original brand could not credibly serve. The Derma Co for the ingredient-literate buyer who wants a percentage on the label. Aqualogica, BBlunt and others for adjacent needs. Reported FY24 revenue was in the region of ₹1,900 crore, and Honasa listed publicly in November 2023.

That decision is the sharpest point in this case, so read it twice. Mamaearth's promise is emotional and reassurance-led: gentle, safe, natural. The customer who wants ten per cent niacinamide and wants to be told the pH is asking for the opposite tone — clinical, precise, technical. You cannot deliver both from one brand without weakening the thing each customer came for.

5 The Expansion That Looked Obvious

Now the most instructive event in this case.

Nykaa Fashion launched in 2018, and it looked like the natural next step by every intuitive measure: the same young urban woman, the same app, the same aesthetic, the same aspirational positioning. Everyone who looked at it agreed it made sense.

Fashion, however, behaves nothing like beauty.

	BEAUTY	FASHION
What she orders	One shade, one size, no fit risk	Often the same dress in three sizes, intending to keep one
Returns	Low single digits	Frequently reported at twenty to forty per cent in Indian online apparel
Repeat pattern	Runs out on a clock — she comes back on a schedule	Occasion-driven and irregular
Inventory	Compact, shelf-stable, forgiving	Seasonal, size-fragmented, unforgiving
Who she believes	Nykaa is the authority	Myntra and Ajio had spent a decade learning exactly this problem

Every return is picked up, inspected, restocked or written off, and paid for — both ways. The fashion business grew, but at margins and profitability that looked nothing like the beauty business, and it has consistently been the harder half of the story to defend to investors.

6 The Numbers: What Each Customer Actually Earns

Arguments about which customer to serve get settled by four numbers, and every founder should be able to recite them. **Average order value**: what a single purchase is worth. **Repeat rate**: what share of customers come back, which is what turns a purchase into a customer. **Customer acquisition cost**, or CAC: what you spend on marketing to get one buyer, and the single most under-estimated number in Indian consumer business. And **return rate**, which is invisible in a pitch deck and decisive in a warehouse.

Treat the table as approximate and directional — figures at this level are rarely disclosed cleanly — but the relationships are what matter, and the relationships are robust.

	NYKAA · BEAUTY	NYKAA · FASHION	SUGAR	MAMAEARTH
The first customer	Aspirational and enthusiast beauty buyer, metro, own income, already knows the brands	Young urban woman buying apparel and accessories online	Urban woman in her twenties who wants a lipstick that survives Indian heat	A new mother buying for an infant for the first time
Why her, first	Badly served, high frequency, brand-literate, concentrated in a few cities	Assumed to be the same person the beauty business already had	A specific product failure — climate and skin tone — that nobody had fixed	Maximum anxiety, no existing habit, self-identifying and vocal
Who was deliberately ignored	The mass buyer and, at first, the luxury buyer	Nobody — which is part of the problem	Everyone outside bold long-wear colour, including the bridal-adjacent mass market	Every adult buyer, for the first few years
Order value	Reported in the region of ₹1,500–2,000	Higher per order, but far less of it is kept	Roughly ₹500–₹800 per lipstick, with baskets above that	A few hundred rupees, bought in bundles
Repeat behaviour	Strong — consumables run out on a predictable clock	Weak and occasion-driven	Strong — a lipstick is a habit purchase	Strong for about three years, then the customer leaves entirely
Returns	Low single digits	Frequently reported at twenty to forty per cent	Low	Low
What the money went on	Inventory, brand relationships, content, warehouses	Apparel inventory, size depth, reverse logistics	Retail distribution into tens of thousands of touchpoints	Digital acquisition and influencer content
What came next	Up to luxury, then down to private labels and Tier-2 stores	Grew, but never matched beauty on economics	Same price band, new places to buy, then new categories	Adult care under the same brand, then separate brands elsewhere

Two rows there deserve to be read together, because the pair is the whole argument. Look at RETURNS, and then at REPEAT BEHAVIOUR. Beauty is a low-return, high-repeat business: almost everything you sell stays sold, and the customer comes back on a clock because the product runs out. Fashion is a high-return, occasion-driven business: a meaningful share of what you sell comes back, and you paid for the delivery in both directions. Those are not two versions of one business. They are two different companies that happen to be sold from the same app to the same woman.

And read the Mamaearth column for the opposite lesson. That customer scores well on everything except duration — she is excellent, and then she is gone, because her child grows up.

7 The Question Case B Sets Up

None of these founders had the full sequence written down in year one, and anybody who claims otherwise is telling the story backwards. What each of them had was a clear first customer, and a habit of asking what winning that customer had earned them before choosing the next one.

Which leaves the question we will open with, and it is harder than it sounds:

> *Nykaa Fashion had the same customer, the same app, the same look and the same brand — and it still did not work like the beauty business. So what test, applied in 2018, would have caught that? And would you have trusted the test over your own intuition?*

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
>
> Spend twenty minutes on these. Write your answers down — a line or two each is enough. They will not be collected or graded, but you will be asked for them in the room, and 'I didn't think about it' is a much worse position to be in than a wrong answer.
>
> There are no model answers at the back of this document. That is deliberate.

On the 8am Milkshake

1. **Answer this in one line, quickly, without editing it: why do you use Instagram?** (Or whichever app you use most — name it.) Then, underneath, write down what you were actually doing, physically, the last time you opened it: where you were, who you were with, and what you would have done in that same minute if the app had not existed. Bring both answers. The distance between them is where the class starts.

2. **The milkshake was competing with a banana.** Take one thing you bought or used yesterday and write out the honest list of what else could have served you in that exact moment. Include the free, clumsy option, and include doing nothing.

3. **Cadbury's rival was not Nestlé; it was a box of mithai.** Name one Indian business you know whose real rival is something the industry would never list as a competitor. Say what it is, and why the obvious list misses it.

4. **Here are four purchases. Decide, for each, what the person was really buying:** a ₹60 Rapido bike at 9:40am for a 9:45 class, when the bus is ₹15 and he takes it every other day; a 'Good morning' forward sent to a family WhatsApp group of eleven relatives that nobody reads; a ₹10 Dairy Milk eaten alone at 6:30pm walking home; a ₹150 Silk handed to a cousin whose result came out this morning. Two of those are the same product. Say what makes them different.

5. **Now argue against Case A.** The chain worked out that its customer was a bored commuter and made the milkshake thicker. Make the case that this is a small, unremarkable piece of research dressed up as a revelation — and then make the case against yourself.

On Who Goes First

6. **Name the customer each founder deliberately decided to serve badly at the start** — Nykaa, Sugar, Mamaearth. One line each. Then say which of those three refusals you think was the hardest to defend to an investor in year one, and why.

7. **You wrote down an answer in Section 2** about what would have happened had Nykaa gone down before it went up. Bring it. Then extend it: name a real Indian brand that has tried to move from cheap to expensive, and say whether anybody believed it.

8. **In 2018 Nykaa launched fashion — same woman, same app, same aesthetic, same brand.** Decide now, before class, whether you would have approved it. Write down yes or no and the one number you would have asked to see first. Do not change your answer after the discussion starts; we want to know what you thought beforehand.

9. **Mamaearth's first customer stops being that customer in about three years.** Name one other business whose customers age out of it on a fixed clock, and say what that business has to do differently as a result.

10. **Come with a first customer of your own.** Imagine you are launching a monthly skincare and beauty box for Indian women aged 18 to 25. Split that into three or four groups — each one must contain a behaviour or a need, not just an age and a city — and pick which one you would serve first. Write down, by name, the groups you are refusing, and one line on what refusing each one buys you. We build on this in the activity.

Come with your ten answers and one genuine disagreement. If some part of either case struck you as wrong, exaggerated, or too neat — particularly the parts where a founder's decision looks obvious in hindsight — that is worth saying out loud. Those are usually the most useful ten minutes of the class.